

# Voting Down Road Maintenance: The Fiscal Illusion of Local Tax Relief and House Values\*

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## Abstract

Local governments often finance infrastructure maintenance through recurring taxes that are renewed by voters periodically. Utilizing a quasi-experimental setting, we study what happens when voters narrowly reject dedicated road-maintenance funding. Using 3,184 Ohio renewal referendums from 1991 to 2021, we compare jurisdictions just above and below the 50 percent cutoff in a dynamic regression discontinuity design. A failed renewal removes an existing revenue stream that costs households about \$76 per year and equals about 11% of local road-maintenance spending. Narrow failures produce delayed housing-market losses: median sale prices fall by about \$15,350, or 9%, over the decade after the vote, with losses emerging after year four. Road imagery classified with a fine-tuned vision model shows post-election road-quality declines of up to 16%. Price effects are larger in urban areas, for higher-value houses, and after larger levy failures. A benefit-cost assessment implies a net loss to households of about \$1.4 for every dollar of forgone road-maintenance funding.

**Keywords:** Road Maintenance; Local Public Finance; Housing Values; Infrastructure; Regression Discontinuity.

**JEL Codes:** R42, H71, R31, C21

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